

Ambuja Cements Ltd

Investment Rating : Excellent

Company Overview

Website	https://www.ambujacement.com/
Sector	nan
Market Cap	1,281,411.04 Cr
PE Ratio	55.62
PB Ratio	9.21
Dividend Yield	3.1 %

Financial Quality

ROE	9.24
ROCE	12.8
CFO Quality	High Quality
FCF CAGR	nan%
Capital Pattern	Balanced

Capital Allocation

Capital Score	100.0
Reinvestment	Aggressive Expansion
Debt Trend	Increasing Debt
Leverage	Low

Business Overview

Ambuja Cements Ltd. is among the leading cement companies in India. It is a member of the Adani Group. Currently, Ambuja Cement has a cement capacity of 31 million tonnes with six integrated cement manufacturing plants

Strengths

Strong free cash flow generation over 5 years signals healthy business fundamentals.
Very high interest coverage ratio reflects negligible financial stress from debt servicing.
Consistent dividend yield above 2% backed by positive free cash flow.
Revenue growing slower than profits shows improving operating leverage and scale benefits.

Risks

Revenue contraction over 2 consecutive years indicates demand weakness or market share loss.
Rising debt over the past 3 years suggests increasing financial leverage risk.
Revenue growing below 5% over five years suggests limited business momentum.